delivery and therefore shut them down for you in case you had forgotten and could not be reached, but this is not something you want to happen either. Make sure you are always aware of when you should close or roll a position or there will be negative consequences.

The units used for agricultural commodities are usually a mass unit such as pounds or a volume unit such as bushels, but with various exceptions such as feet for lumber (see Table 2.2 for all the details).

In the agricultural commodities sector the small player has a clear advantage in that there are a large number of less liquid instruments available with low correlation to other assets. They are liquid enough for trading accounts of a few tens of million dollars, perhaps even over a hundred million, but the big players in the field simply cannot get any useful profits out of them because of their size. It simply is not possible to trade huge amounts of Japanese rubber or European potatoes and this keeps the huge CTA funds away. If you manage reasonably small accounts, this is the sector where you can go nuts and add all kinds of obscure markets to help improve your risk-adjusted returns. The relatively low internal correlation in this sector means that you can get significant diversification benefits from adding more markets.



**TABLE 2.2 Agricultural commodity futures**

| Name | Point value | Unit | Currency | Exchange |
|---|---|---|---|---|
| Azuki red beans | 2,400 | Kg | JPY | TGE |
| Coffee | 37,500 | Lbs | USc | CSCE |
| Corn | 5,000 | Bsh | USc | CBOT |
| Cotton | 50,000 | Lbs | USc | NYCE |
| Lean hogs | 40,000 | Lbs | USc | CME |
| Live cattle | 40,000 | Lbs | USc | CME |
| Lumber | 110,000 | Feet | USD | CME |
| Oats | 5,000 | Bsh | USc | CBOT |
| Orange juice | 15,000 | Lbs | USc | NYCE |
| Canola | 20 | Tons | CAD | WCE |
| Rough rice | 2,000 | Cwt | USc | CBOT |
| Rubber | 10,000 | Kg | JPY | TOCOM |
| Soybean meal | 100 | Tons | USD | CBOT |
| Soybeans | 5,000 | Bsh | USc | CBOT |
| Sugar | 112,000 | Lbs | USc | CSCE |
| Wheat | 5,000 | Bsh | USc | CBOT |